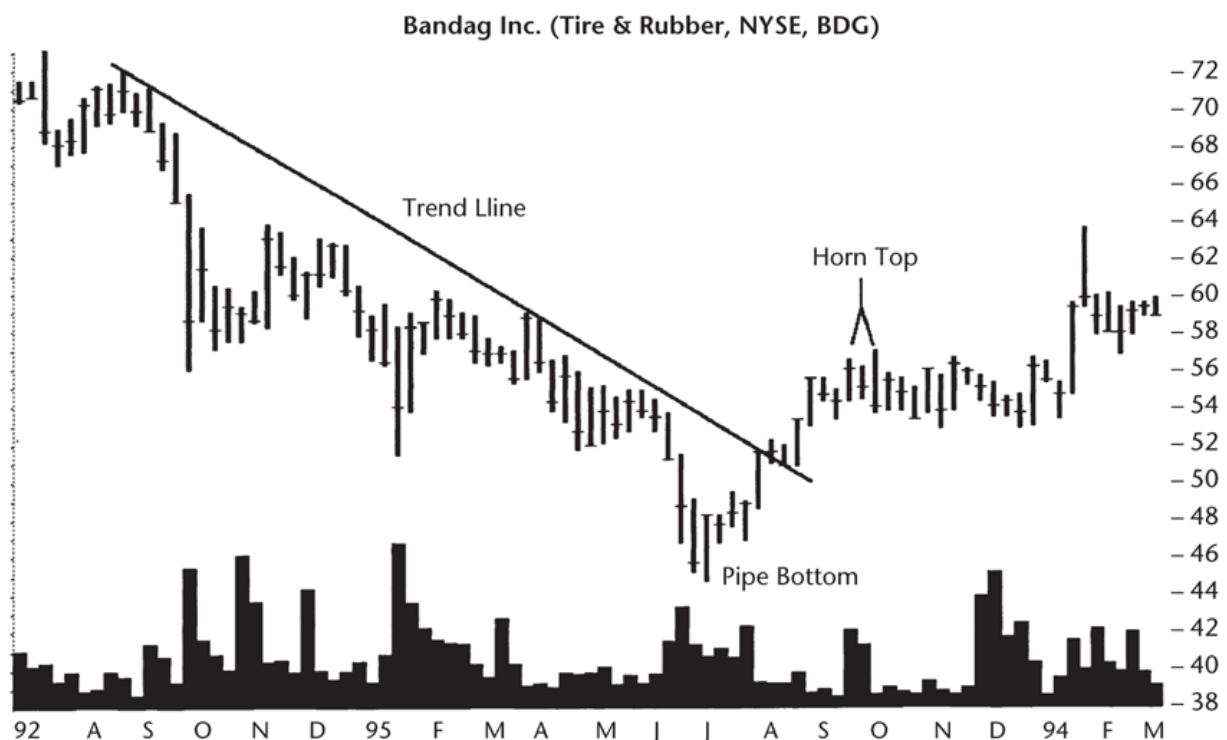


Most horns warn about a coming decline by forming less than 2 months before a major turn. That finding is worth knowing. If a horn fails to call the turn in a stock you own, be alert to a possible trend change coming soon.

You can improve your investment performance if you consider the overall environment for the stock. Look at the horn top pictured in [Figure 44.3](#). After trending down for a year, the stock pierced the down-sloping trendline, signaling a trend change, and price moved higher. Then the horn top formed.



[Figure 44.3](#) Horn top appearing after an extended downtrend. It is probably best to ignore such horn tops. A pipe bottom marks the turning point.

In situations like this, after a long downtrend, a stock usually bounces up, curls around, and retests the low, forming a double bottom (but not always, of course). So when the horn formed, it probably signaled the price top before the retest. That was a good omen, an opportunity to short the stock as price returned to the June low.

However, the stock stalled. It *did* confirm the horn top as a valid chart pattern, but the stock continued to move sideways. Obviously there was fundamental news to support the stock and keep it from dropping. What was that news? I have no idea, but the bulls and bears struggled for control